KESTREL PETROLEUM — ANNUAL FINANCIAL DISCLOSURE

(EXCERPT)

This is an excerpt from the annual financial disclosure of Kestrel Petroleum, which was prepared at the request of the Office of the Attorney General of the State of Arden. All figures relate to the most recent completed financial year and are stated in millions of United States dollars.

1. The company and its organisation

Kestrel Petroleum is a publicly traded company organised under the laws of Texas. Its workforce numbers approximately 35,963 persons across 9 states, and it reports through the segments set out below. Corporation Service Company serves as the company's registered agent in Arden.

2. Segment revenue

Segment	Revenue ($M)	Share of total (%)	Fossil Fuel Products segment
Upstream production	112,430	39.4	yes
Refining and marketing	131,570	46.2	yes
Chemicals and intermediates	25,610	9.0	no
Low-carbon ventures	7,380	2.6	no
Corporate and other	8,010	2.8	no
Total revenue	**285,000**	**100.0**	

Revenue from sales of Fossil Fuel Products, as that term is defined in the Climate Resilience Funding Act, is made up of the segments marked above and totalled $244,000M for the year. Revenue from all segments totalled $285,000M. In the preceding year the corresponding proportion was 77.1%.

3. Capital spending, depreciation and impairment

Capital expenditure for the year was $15,669.0M, and 64.2% of that amount was directed to maintenance of existing assets. Depreciation, depletion and amortisation amounted to $14,588.8M. An impairment of $1,455.5M was recorded in respect of legacy metering assets.

4. Hedging and commodity price exposure

The company hedged approximately 54.2% of anticipated production or purchase volumes for the coming year. At year end the notional value of open derivative positions stood at $46,850.7M. A hypothetical ten per cent adverse movement in benchmark prices would have reduced pre-tax earnings by $5,442.9M.

5. People, safety and environmental compliance

The recordable injury rate stood at 1.49 per two hundred thousand hours worked. Across all jurisdictions the company reported 1 notices of violation and paid civil penalties of $2.9M. Voluntary turnover ran at 13.1%.

6. Litigation matters

The company is party to 21 proceedings, all arising in the ordinary course of business. Management does not consider any of them, whether individually or in the aggregate, likely to have a material adverse effect. Amounts accrued in respect of loss contingencies were $1,423.0M.

7. Geographic spread of revenue

Revenue is attributed to the jurisdiction in which title passes. The company's three largest states of operation generated 55.8% of revenue. Arden accounted for 0.21% of revenue. No single customer represented more than 8.2% of revenue. The company holds operating permits in 21 states and one federal offshore lease area.

Region	Revenue ($M)	Share of total (%)	Employees
Gulf and south central	86,803.5	31.9	7,182
Mid-Atlantic and north east	70,611.6	16.1	9,979
Midwest	43,415.3	13.8	6,284
West and mountain	21,696.9	14.0	5,669
All other, including Arden	26,946.5	8.8	3,534

Regional figures reflect management's allocation and are rounded; they are not a segment disclosure and do not sum to total revenue.

8. Purchase commitments and off-balance-sheet arrangements

Purchase obligations under take-or-pay and transportation contracts stood at $41,275.7M, of which $8,740.6M falls due within one year. Operating lease commitments were $2,847.6M. The company has issued surety bonds and letters of credit of $2,120.5M, principally in respect of decommissioning and of state fuel tax obligations. Other than those described, there are no off-balance-sheet financing arrangements.

9. Income tax position

The effective rate was 24.7%, measured against a statutory federal rate of 21%. The principal reconciling items were state taxes net of federal benefit (2.8 points), depletion allowances (4.9 points adverse to the reconciliation) and the resolution of an examination covering the years 2018 to 2021. Unrecognised tax benefits were $512.8M. The company is under examination in 1 states; Arden is not among them.

10. Transactions with related parties

Sales to entities in which a director or officer holds an interest of ten per cent or more came to $293.7M, on terms management believes to be no less favourable than those available from unrelated parties. No director or officer has an interest in any supplier of the company.

11. Accounting estimates regarded as critical

Management considers the following estimates critical: the recognition of revenue on contracts with variable consideration; the assessment of asset retirement obligations (discount rate 3.6%, expected settlement over 22 years); the recoverability of long-lived assets; and the valuation of open derivative positions where quoted prices are not available. A ten per cent change in the discount rate applied to retirement obligations would change the recorded liability by $823.0M.

12. Selected financial data for five years

	Year 1	Year 2	Year 3	Year 4	Year 5 (current)
Total revenue ($M)	237,583.4	235,344.9	251,392.8	266,723.1	285,000
Revenue from Fossil Fuel Products ($M)	190,168.4	200,338.7	191,724.4	205,628.8	244,000
Capital expenditure ($M)	16,186.8	18,918.8	15,546.7	15,372.1	15,669.0
Employees (000)	34.1	33.5	32.5	34.1	33.0

Prior-year figures are presented as previously reported and have not been restated. The proportion of revenue derived from Fossil Fuel Products may be computed from the two revenue lines; the proportion for the current year is stated in section 2 above.

13. Events after the reporting date

On 11 July the company settled an environmental proceeding, without admission, for consideration of $875.9M. Management has evaluated events through the date of this disclosure and is not aware of any other matter requiring adjustment or disclosure.

14. Distributions to holders

Holders received distributions of $12,941.2M, equivalent to 44.5% of distributable cash flow. The board has not adopted a fixed distribution policy.

Prepared solely for the purposes of the constitutional review. Not filed with any securities regulator and not audited as presented.